

Alphabet Inc. (GOOGL)

Fundamental analysis & five-year outlook | Prepared July 12, 2026 | Price \$356.88 (7/10/26) | Market cap \$4.33T

The one-paragraph version. Alphabet is the mirror image of the Microsoft note I wrote you last week. Where Microsoft's business accelerated while its stock de-rated, Alphabet's stock has *doubled* in twelve months — from \$176 to a \$408 high — because the market finally conceded that Google won the AI infrastructure round. And the operating numbers back it: revenue +22% (fastest in over two years), Google Cloud +63% with operating margin doubling from 17% to 33%, a Cloud backlog that nearly doubled in one quarter to **\$460B+**, and Search revenue *accelerating* to +19% — the single cleanest refutation of the "AI kills Search" thesis. But three things demand your attention: (1) the headline "+82% EPS" is roughly three-quarters a non-operating mark-to-market gain, and core EPS grew ~19%, not 82%; (2) Alphabet is spending **\$180-190B on capex this year — ~39% of revenue** — and free cash flow fell to \$10.1B last quarter; and (3) on June 1 the company did something it had never done since the 2004 IPO: **it raised \$84.75B in equity, paused buybacks entirely, and sold \$10B of stock to Berkshire Hathaway.** Alphabet is now the better *business*. Microsoft is the better *price*. At ~29x core forward earnings, most of the good news is already in the stock.

1. History, business model, and revenue mix

The short history

Founded 1998 by Larry Page and Sergey Brin; IPO 2004 at \$85/share. Google built the most profitable business model in history — an auction that monetizes purchase intent at near-zero marginal cost — and then spent two decades defending it. The 2015 reorganization into Alphabet ring-fenced the "Other Bets" moonshots (Waymo, Verily, DeepMind before it was folded back in). **Sundar Pichai** has run it since 2015.

The defining chapter of the last three years was existential fear: ChatGPT launched in late 2022 and the market spent two years pricing Alphabet as a melting ice cube — a search monopoly about to be disintermediated by chatbots, run by a company that had invented the transformer and then failed to ship. That fear peaked in mid-2025, when the stock bottomed near **\$176**. Then Gemini 3 shipped in December 2025 and swept the leaderboards, AI Mode and AI Overviews rolled out globally, Cloud growth exploded, Judge Mehta declined to break up the company, and Apple agreed to put Gemini inside Siri. The stock has roughly doubled since. **Understanding that the last twelve months were a re-rating from despair to confidence is essential to understanding what you're being asked to pay today.**

Business model

Alphabet monetizes **attention and intent**, and is now converting a decade of internal AI infrastructure investment into a second, enterprise business. Three distinct engines:

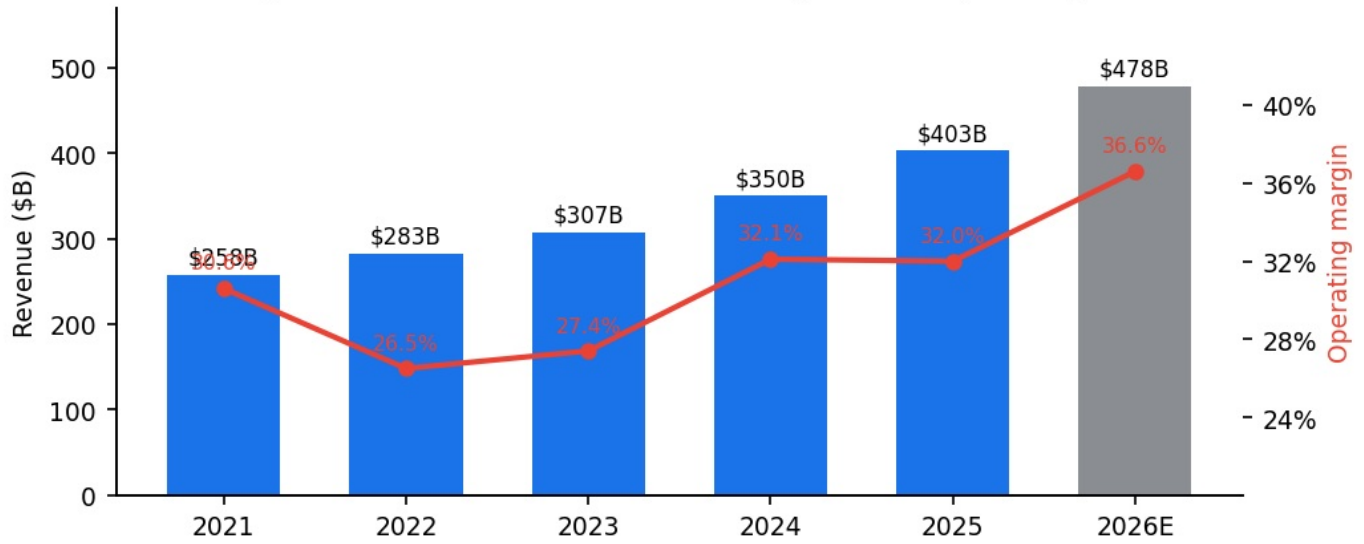
- **The advertising machine (~73% of revenue).** Search, YouTube, and the Network. Structurally the best business ever built: no inventory, no COGS to speak of, and advertisers bid against each other to raise Google's prices for it.
- **Google Cloud (~15% and climbing fast).** The growth engine. Uniquely, Google designs its own AI silicon (TPUs), which means it does not pay NVIDIA's ~75% gross margin on its most expensive input.
- **Subscriptions (~12%).** YouTube Premium, Google One, YouTube TV. **350 million paid subscriptions** as of Q1 2026 — a genuinely underappreciated recurring-revenue business hiding inside an ad company.

Segment mix (FY2025, \$402.8B total)

Line	FY25 revenue	% of total	Q1 2026 growth	Comment
Google Search & other	\$224.5B	55.7%	+19%	The engine. <i>Accelerating</i> , not declining.
Google subscriptions, platforms & devices	~\$47.5B	~11.8%	+19%	350M paid subs; the quiet compounder
YouTube ads	\$40.4B	10.0%	+11%	Slowest ad line. YouTube total (ads+subs) >\$60B
Google Network	~\$28.5B	~7.1%	declining	The ad-tech business at the center of the DOJ case
Google Cloud	\$58.7B	14.6%	+63%	The whole story. See §3.
Other Bets (Waymo, etc.)	\$1.5B	0.4%	—	Losses ~\$4-5B/yr. Waymo: 500k+ autonomous rides/week

Sourcing note: Search & other, YouTube ads, Cloud and Other Bets are directly reported in Alphabet's 10-K. The subscriptions/platforms/devices and Network figures above are *my reconstruction* from quarterly disclosures and carry roughly ±\$1-2B of error. Percentages don't sum to 100% because of hedging gains/losses booked at the Alphabet level.

Revenue growth is ACCELERATING and margins are expanding



Calendar years. 2026E = Q1 actual + estimate; company has not guided full-year revenue.

Sources: Alphabet 10-K filings 2021-2025; Q1 2026 8-K. 2026E is my estimate (Q1 actual \$109.9B annualized with modest acceleration) — Alphabet does not guide full-year revenue.

2. Moat and competitive landscape

Where the moat is real — and stronger than it was a year ago

- **Distribution at a scale nobody can replicate.** Android, Chrome, and Search are the front door to the internet for billions. The **Apple deal announced January 2026** — a custom Gemini model powering Siri and Apple Intelligence — puts Gemini in front of 2B+ Apple devices. Google is paying roughly \$1B/yr for a distribution channel OpenAI would give a limb for.
- **Vertical integration in silicon.** This is the moat that changed everything. Google designs its own TPUs (now shipping Ironwood/TPUv7, with TPU 8t/8i announced April 2026), co-designed with Broadcom. SemiAnalysis estimates the all-in total cost of ownership per Ironwood chip is roughly **44% below an equivalent NVIDIA GB200 system**. Microsoft and Amazon pay NVIDIA's margin. Google largely doesn't. In a market where AI inference is becoming a commodity priced per token, *the lowest-cost producer wins*, and Google is structurally the lowest-cost producer.
- **External TPU validation.** Anthropic has contracted for up to **1 million TPUs / ~3.5 GW** of Google-designed compute. When your fiercest AI competitor buys your chips, that is not a marketing claim — it's a revealed preference.
- **The data flywheel.** Twenty-five years of query logs, click data, and YouTube video. Irreplaceable training substrate.

Where the risk lives

- **Search share is being nibbled at the edges.** Google still holds roughly 80–90% of global query volume, but AI assistants are absorbing an estimated 15–20% of *informational* query volume — the exact segment that used to drive organic clicks. ChatGPT has ~900M–1B users. **But:** Search revenue grew 19% last quarter with *paid clicks +13% and cost-per-click +5%* — volume *and* price both rising. The disruption thesis has not shown up in the P&L. Not once. In eleven quarters.
- **Cloud is still #3.** Per Synergy Research (Q1 2026): AWS 28%, Azure 21%, **Google Cloud 14%**. Google is growing fastest but from the smallest base, and is capacity-constrained ("our cloud revenue would have been higher if we were able to meet the demand" — Pichai).
- **Regulatory. Two live monopolization findings.** See §6 — this is the single largest idiosyncratic risk in the name.

Peer comparison (July 10, 2026)

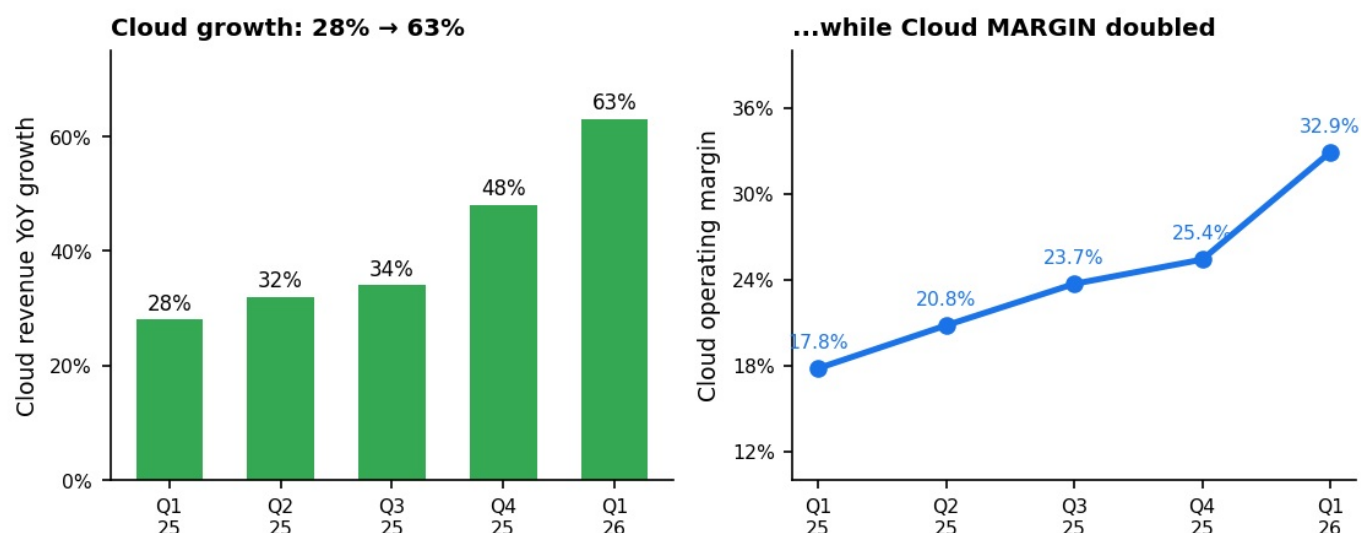
Company	Market cap	Trailing P/E	P/B	Cloud growth	52-wk price
Alphabet	\$4.33T	27.3x	9.0x	+63%	+95%
Microsoft	\$2.86T	22.9x	6.9x	+40% (Azure)	-24%
Amazon	\$2.64T	29.3x	6.0x	+19% (AWS)	—
Meta	\$1.7T*	—	—	n/a	—

*Approximate. **Alphabet is now the world's most valuable company, ~52% larger than Microsoft.** Eighteen months ago that ordering was reversed. Sources: Robinhood market data 7/10/26; Synergy Research Q1 2026.

3. Growth drivers

Driver 1 — Google Cloud, and the margin inflection nobody expected

This is the most important chart in the report. Cloud revenue growth went 28% → 63% in four quarters. But the *margin* story is the real news: Cloud operating margin roughly doubled, from ~18% to **32.9%**. Google is not buying growth with price. It is earning it — because it owns the silicon.



Sources: Alphabet quarterly 8-K earnings releases, Q1 2025 – Q1 2026. Cloud operating margins for Q2–Q4 2025 are computed from reported segment revenue and operating income; Q1 2026 (32.9%) is derived from the reported \$6.6B operating income on \$20.03B revenue.

The backlog is the hard evidence. Google Cloud's contracted backlog **nearly doubled quarter-on-quarter to over \$460B**. That is not a forecast — it is signed contracts. For scale: Alphabet's *entire company* did \$402.8B of revenue last year. A meaningful chunk of that \$460B is the Anthropic TPU commitment, so don't treat it as fully diversified — but the direction and magnitude are both extraordinary.

Driver 2 — Search is not dying. It is compounding.

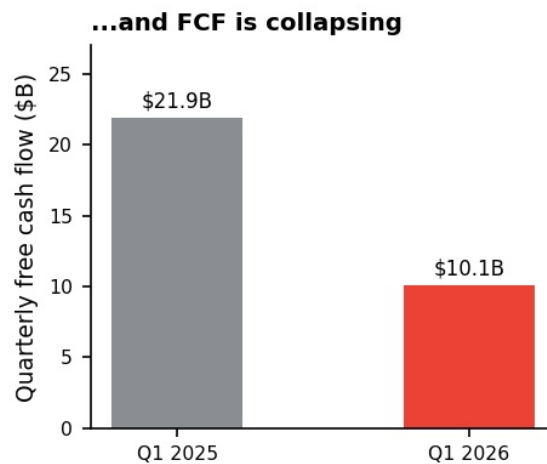
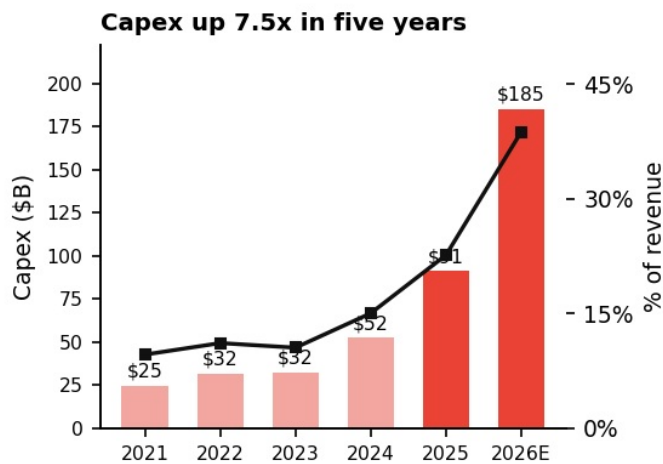
Read this twice, because it is the entire bull case. The consensus fear from 2023 to 2025 was that AI chatbots would gut Google Search. In Q1 2026, Search & other revenue grew **19% to \$60.4 billion** — an *acceleration* — with paid clicks up 13% and cost-per-click up 5%. Both volume and price rose. AI Overviews and AI Mode did not cannibalize Search; they appear to be *expanding* query volume and monetizing it at least as well. AI Mode alone reportedly has 1B+ monthly users. The Gemini app went from 400M to **900M+ monthly active users** in a year.

This does not mean the risk is gone. It means the risk has been tested for eleven consecutive quarters and has not yet materialized in the financials. That is meaningful evidence, and it is why the stock doubled.

Driver 3 — Subscriptions and the long tail

- **350 million paid subscriptions** (YouTube Premium, Google One, YouTube TV) — growing 19%. This is a recurring-revenue business roughly the size of Netflix hiding inside an advertising company.
- **Waymo:** 500,000+ fully autonomous rides per week. Still inside a segment that loses \$4–5B/yr, but it is the only credible commercial robotaxi at scale in the US. Unmodeled optionality — I assign it zero in my base case.
- **Wiz** (\$32B, closed March 2026) — the largest acquisition in Alphabet's history, bought to make Google Cloud credible on security.

4. Capital allocation — the chapter that should worry you



TTM FCF: \$74.9B → \$64.4B. Some analysts model 2026 FCF as low as ~\$8B.

Sources: Alphabet 10-K filings; Q1 2026 8-K and earnings call. 2026E capex = company guidance midpoint (\$180–190B, raised from \$175–185B on the Q1 call). Q1 2026 capex was \$35.7B (~60% servers, 40% data centers and networking) against \$45.8B of operating cash flow.

The June 1 announcement changes the investment case, and I want to make sure it doesn't get lost in the good news.

On **June 1-2, 2026**, Alphabet announced an **\$84.75 billion equity capital raise** — its first equity issuance since the 2004 IPO. The structure:

- \$15B in Class A and Class C common stock (underwritten)
- ~\$16.75B in **6.25% mandatory convertible preferred stock** (two series, via depositary shares)
- A **\$40B at-the-market (ATM) program**, beginning after Q2 earnings
- A **\$10B private placement to Berkshire Hathaway** — \$5B Class A at \$351.81, \$5B Class C at \$348.20, adding to a position Berkshire has been building since Q3 2025

Simultaneously, **share repurchases were paused entirely** — zero in Q1 2026, versus \$15.1B in Q1 2025 — and the company issued \$31.1B of senior unsecured notes in Q1 on top of a \$20B multi-tranche bond sale (including a 100-year sterling tranche).

What this actually means. Total dilution is modest in percentage terms — roughly 2% of a \$4.3T market cap. And an important nuance most coverage missed: Alphabet's own prospectus states the ATM proceeds are intended "*primarily to facilitate, for a period of time, an administrative change to how it meets tax obligations associated with vesting of employee equity awards*" — i.e., a large chunk of the \$40B is a mechanical SBC-tax plumbing change, **not** new capital for data centers. Don't let the headline number scare you more than the substance warrants.

But the signal is loud regardless. A company that generated \$70B+ of free cash flow last year is issuing equity, issuing debt, and has stopped buying back its own stock — all at once. That is what a company does when its capital needs have outgrown its cash generation. The old Alphabet was a capital-light advertising monopoly that returned cash. **The new Alphabet is a capital-intensive industrial infrastructure business that consumes it.** Warren Buffett buying \$10B of it at these prices is a genuine data point in the other direction — but it does not change the arithmetic.

Shareholder returns

Item	Status
Quarterly dividend	\$0.22/share, raised 5% in April 2026 (from \$0.21). Initiated only in 2024.
Dividend yield	0.25% — effectively a rounding error. Payout ratio ~4%.
Buybacks	PAUSED. \$0 in Q1 2026 vs \$15.1B in Q1 2025.
Equity issuance	\$84.75B raise announced June 2026 — first since IPO
Debt	\$31.1B senior notes issued in Q1 2026 alone, plus a ~\$20B bond sale
Cash & marketable securities	~\$126.8B (this is not a liquidity problem — it is a strategic choice)
2027 capex	CFO Ashkenazi: will "significantly increase" vs 2026. Read: \$200B+.

The honest read: for a growth-objective portfolio, the dividend and buyback are irrelevant — you would rather they reinvest at a high return on capital. The question is whether ~\$190B/yr, rising, is a high-return reinvestment. The Cloud margin inflection (18% → 33%) is the best evidence yet that it might be. But you are now underwriting a capital cycle, not a cash machine.

5. Financial deep dive

Five-year record

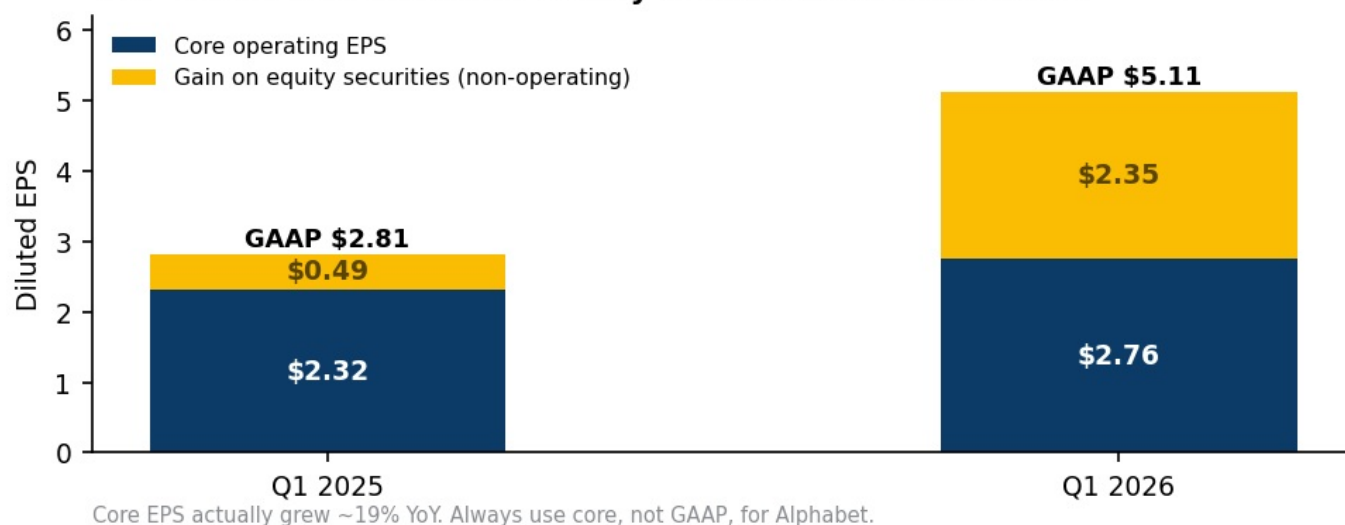
Calendar year	2021	2022	2023	2024	2025	2026E
Revenue (\$B)	257.6	282.8	307.4	350.0	402.8	~478
Revenue growth	—	9.8%	8.7%	13.9%	15.1%	~19%
Operating income (\$B)	78.7	74.8	84.3	112.4	129.0	~175
Operating margin	30.6%	26.5%	27.4%	32.1%	32.0%	~36.6%
Net income (\$B, GAAP)	76.0	60.0	73.8	100.1	132.2	—
Diluted EPS (GAAP)	\$5.61	\$4.56	\$5.80	\$8.04	\$10.81	—
Capex (\$B)	24.6	31.5	32.3	52.5	~91	180-190
Capex as % of revenue	9.6%	11.1%	10.5%	15.0%	~22.6%	~39%

5-year CAGRs (2021→2026E): Revenue +13.2%, Operating income +17.3%, Capex +49.7%. Note 2022: revenue grew 9.8% but operating income *fell* — the ad recession. That's what a cyclical downturn does to this business, and it's worth remembering that ~73% of revenue is still advertising.

The GAAP distortion — read this before you look at any P/E

Alphabet holds large non-marketable equity stakes (SpaceX, Anthropic, and others). Under current accounting, unrealized marks on those stakes run *through the income statement*. In Q1 2026 that produced a **\$36.9 billion pre-tax gain**, which added **\$2.35 to diluted EPS** — out of a reported \$5.11.

The "+82% EPS" headline: mostly a mark-to-market artifact



Source: Alphabet Q1 2026 8-K (the company itself discloses the \$2.35 EPS impact). Q1 2025's equity-gain adjustment (~\$0.49) is my estimate from the comparable prior-year disclosure. **Every headline you read saying "Alphabet EPS +82%" is wrong in substance.** Core operating EPS grew about 19% — excellent, but not 82%.

Key metrics — current

Metric	Value	Comment
Trailing GAAP P/E	27.3x	Misleading — TTM GAAP earnings are inflated by equity marks
Est. forward P/E on CORE earnings	~29x (2026E) ~25x (2027E)	This is the number that matters. Alphabet is <i>not</i> cheap. It is a premium multiple for a premium business.
Operating margin	36.1% (Q1 26)	Expanding 2pts YoY despite the capex ramp
Google Cloud operating margin	32.9%	Doubled in five quarters. The key metric in the whole company.
Free cash flow (Q1 2026)	\$10.1B	Down from ~\$21.9B. TTM FCF \$74.9B → \$64.4B. Some sell-side models put 2026 FCF as low as ~\$8B.
Operating cash flow (Q1 2026)	\$45.8B	+26% YoY. <i>The business is fine. The capex is what's eating it.</i>
Cloud backlog	\$460B+	Nearly doubled QoQ. Includes the Anthropic TPU commitment.
Cash & marketable securities	~\$126.8B	Plus \$84.75B of equity being raised
P/B	9.0x	vs MSFT 6.9x
Dividend yield	0.25%	Irrelevant for your purposes
52-week range	\$176.48 – \$408.61	Now ~13% below the high, ~102% above the low

Sources: Alphabet Q1 2026 8-K and earnings call; Robinhood market data (7/10/26). ROE/ROIC are omitted deliberately: with \$84.75B of new equity landing and equity marks swinging net income by \$37B in a quarter, both ratios are currently uninterpretable. That is itself the finding.

Owner earnings and the depreciation question

Same problem as Microsoft, and for the same reason. Alphabet depreciates servers over **6 years** (extended from 4 in 2023, a change that reduced that year's depreciation by ~\$3.9B and lifted net income ~\$3.0B). NVIDIA — and Google's own TPU roadmap — now iterate annually. Michael Burry, Jim Chanos and Aswath Damodaran have all argued hyperscalers overstate earnings this way.

Server useful life	Est. annual depreciation	2026E core EPS	Change	"True" P/E at \$357
6 years (as reported)	~\$34B	\$12.10	—	29.5x
5 years	~\$41B	\$11.64	–4%	30.7x
4 years	~\$51B	\$10.95	–9%	32.6x
3 years	~\$68B	\$9.81	–19%	36.4x

Illustrative model, not a filing figure. Assumes ~\$34B of 2026 D&A sits on server/network equipment on the 6-year schedule, 17% effective tax, ~12.3B shares. **The comparison with Microsoft is the point:** a 4-year assumption takes MSFT from 22x to ~25x — roughly its historical average. It takes GOOGL from ~29x to **~33x**. Alphabet has less multiple cushion for this risk. One genuine mitigant: Google's TPUs are its own designs with longer documented deployment lives, which is a better argument for a 6-year schedule than Microsoft can make about merchant GPUs.

6. Key risks and red flags

Risk	Severity	Assessment
Antitrust — two live monopolization findings	HIGH	The largest idiosyncratic risk in the name. See the box below.
Capex / FCF compression	HIGH	\$180–190B in 2026, "significantly higher" in 2027, FCF down to \$10.1B in Q1. Buybacks paused, equity issued, debt issued. If Cloud growth decelerates before the depreciation wave peaks, margins compress hard from a premium multiple.
Valuation — the good news is priced in	HIGH	The stock doubled in 12 months. At ~29x core forward earnings you are paying a full price for an outcome the market has already largely conceded. This is the key difference vs. MSFT.
Depreciation / useful-life accounting	MEDIUM	See §5. Less cushion than Microsoft, but a better underlying argument (own silicon).
Search disruption	MEDIUM	Has not appeared in the numbers for 11 straight quarters — Search grew 19% last quarter. But AI assistants are taking 15–20% of informational query volume, and the click economy underneath Search is fragmenting even where revenue isn't. A slow leak, not a rupture.
Advertising cyclical	MEDIUM	~73% of revenue is still ads. In 2022, operating income <i>fell</i> on 10% revenue growth. A genuine recession would hurt this more than Microsoft's contracted enterprise base.
Equity-gain GAAP noise	MEDIUM	Marks cut both ways. A \$37B gain this quarter can be a \$37B loss next quarter if private AI valuations reset. Ignore GAAP EPS entirely.
Dilution / equity issuance	LOW-MED	~2% dilution is modest, and much of the \$40B ATM is SBC-tax plumbing. The <i>signal</i> matters more than the arithmetic.
Other Bets cash burn	LOW	\$4–5B/yr against \$175B of operating income. Waymo may eventually justify it.

Red flag worth its own section: Alphabet has lost two federal monopolization cases and is appealing both.

Case 1 — Search (Judge Mehta, D.D.C.). August 2024: Google ruled an illegal monopolist in search. **September 2025 remedies were a major win for Google** — Mehta declined to force a Chrome or Android divestiture, imposing behavioral remedies instead: a ban on exclusive default deals and mandatory sharing of certain search data with rivals. Final judgment entered December 2025. Google appealed in January 2026 (opening brief filed May 22, challenging the monopoly finding itself); **the DOJ and 38 states cross-appealed in February 2026, demanding Chrome and Android divestitures be reinstated**, calling the remedies a "slap on the wrist for a recidivist monopolist." On May 8, 2026 the district court **refused to stay the data-sharing mandate** — so Google is already sharing search data with competitors *today*. Oral argument is expected late 2026 or early 2027; a final ruling could take until 2028 and may reach the Supreme Court.

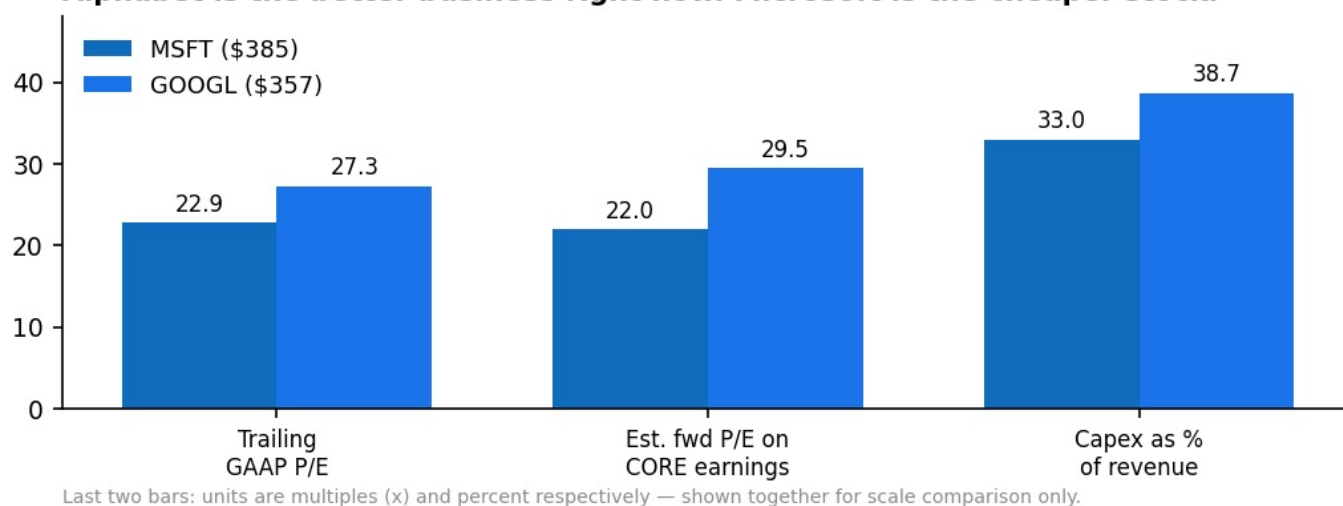
Case 2 — Ad tech (Judge Brinkema, E.D. Va.). April 2025: Google ruled to have illegally monopolized the publisher ad server and ad exchange markets and unlawfully tied DFP to AdX. (Her ruling notably *rejected* the DOJ's claims on Google's advertiser-side tools.) A two-week remedies trial ran in September 2025; closing arguments were in November 2025. **The DOJ is seeking divestiture of AdX and, if necessary, DFP.** Brinkema's self-imposed deadline of March 31, 2026 passed without a ruling.

As of this writing (July 12, 2026) I was unable to confirm that Brinkema has issued the ad tech remedies decision. I want to be explicit about that rather than guess. **This is a live, imminent, binary catalyst.** A structural divestiture order would hit the Google Network line (~7% of revenue, ~\$28.5B) — and, far more importantly, would establish that structural relief is on the table, which the DOJ will immediately leverage in the Search appeal. **Confirm the docket status before you size a position.**

Also live: the EC fined Google €2.95B (~\$3.5B, accrued Q3 2025) for the same ad-tech self-preferencing, and has threatened a break-up of the European ad-tech business if the conduct isn't cured.

7. Valuation and five-year outlook

Alphabet is the better business right now. Microsoft is the cheaper stock.



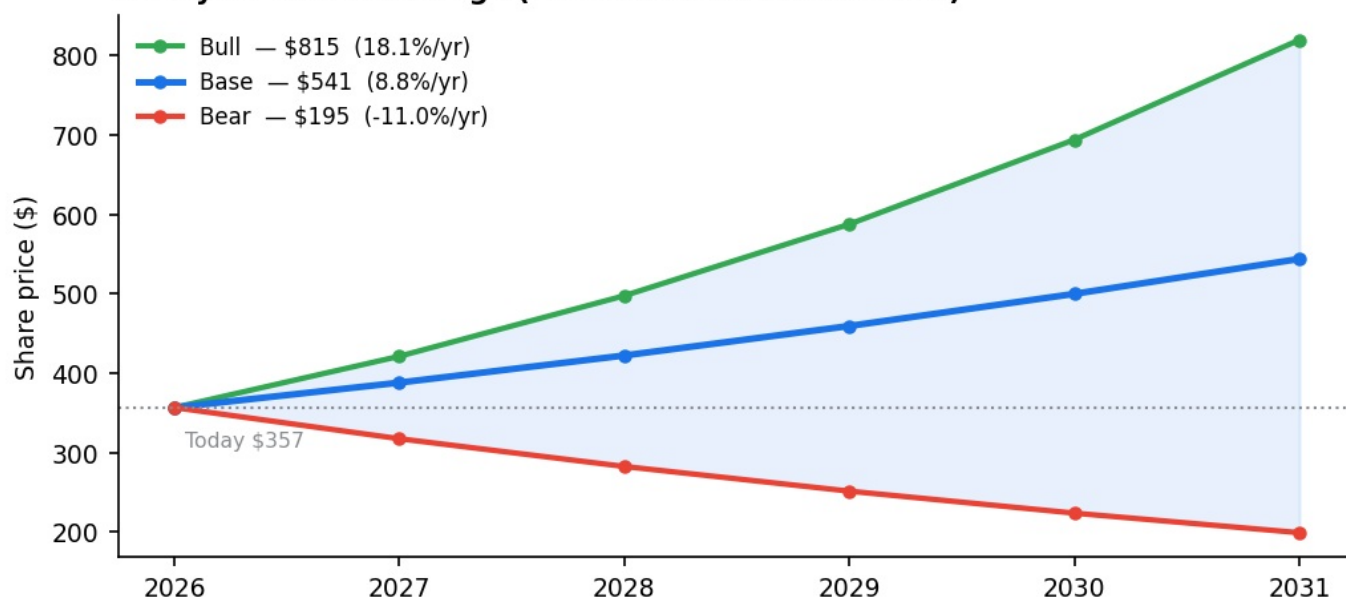
Sources: Robinhood market data (7/10/26); company filings; my core-earnings estimates. Core forward P/E strips non-operating equity gains, which is essential for Alphabet and immaterial for Microsoft.

Five-year scenarios (2026 → 2031)

Scenario	Rev CAGR	2031 revenue	Net margin	2031 EPS	Exit P/E	2031 price	5-yr IRR
Bear — AdX divestiture + Chrome reinstated on appeal; Search share erodes; capex doesn't pay; ad recession	7%	\$670B	24%	\$12.19	16x	\$195	-11.0%
Base — Cloud settles at 30-35%; Search compounds low-teens; capex peaks 2027; margins hold; multiple normalizes to 24x	13%	\$881B	33%	\$22.53	24x	\$541	8.8%
Bull — TPU cost advantage compounds; Cloud takes share from AWS; Gemini/Siri drives a step-change; Waymo scales	17%	\$1,048B	35%	\$29.11	28x	\$815	18.1%

IRR includes ~\$5/share of cumulative dividends. Share count assumed to rise ~1%/yr (dilution from the equity raise and SBC, with buybacks paused) — a reversal of the last decade. My assumptions, not consensus.

Five-year scenario range (total return incl. dividends)



What is priced in at \$357?

Working backwards: at today's price, a buyer earning a **10% return** needs roughly **13-14% revenue CAGR**, a **31% net margin**, and a **26x exit multiple** — i.e. Alphabet must keep compounding at nearly its current rate *and* retain a premium multiple five years out. If the multiple normalizes to 22x, you need 16%+ revenue growth just to clear

8%.

This is the crux, and it's the opposite of Microsoft. With MSFT at \$385, the price already embeds a pessimistic path — you need the AI capex merely to be non-destructive. With GOOGL at \$357, the price embeds a *good* path. Alphabet has to keep executing at a very high level just to deliver a market-average return. There is far less margin of safety in the multiple.

Fit with your portfolio's growth objective

With the \$80,000 pension floor plus retiree medical, income is pre-solved and this sleeve exists to compound. Three thoughts specific to Alphabet:

- **This is a genuinely better business than it was two years ago, and the market knows it.** The TPU cost advantage is the most durable competitive edge anyone has built in AI infrastructure. Owning your own silicon in a market that is commoditizing toward cost-per-token is exactly the kind of structural advantage Munger would have liked. That part of the thesis is real.
- **But you would be buying after a 102% run, at ~29x core earnings, into two unresolved federal monopolization cases and a capex cycle that has forced the company to issue equity for the first time in 22 years.** A hold-forever philosophy doesn't excuse you from asking what you're paying. Buffett's own \$10B purchase came at ~\$350 — essentially today's price — which is a fair counterargument, and worth weighing seriously.
- **If you own both, understand you are doubling down on one bet.** MSFT and GOOGL are now two expressions of the same trade: enterprise AI infrastructure funded by an enormous capex cycle. Their fates are more correlated than a sector label suggests. Against your stated concentration guardrails, treat MSFT + GOOGL + SOXQ as one thematic exposure when you size it, not three independent positions.

The three things to actually watch

1. **Judge Brinkema's ad-tech remedies ruling.** Overdue, binary, and the highest-information event available. Structural divestiture would reprice the stock and change the Search appeal.
2. **Google Cloud operating margin.** 18% → 33% in five quarters is the entire bull case. If it stalls or reverses, the capex is not earning its cost and a 29x multiple is indefensible.
3. **Search paid clicks.** Not Search revenue — *clicks*. Revenue can be held up by pricing for a while. If paid-click volume rolls over, the AI-disruption thesis has finally arrived and you will see it there first.

Bottom line

Alphabet has decisively won the argument it was losing two years ago. Search is accelerating, not dying. Cloud is growing 63% with *expanding* margins because Google owns its silicon and doesn't pay NVIDIA's toll. Gemini is going into 2 billion Apple devices. It is, on the evidence, the best-positioned company in AI. **All of which is why it is now the world's most valuable company and trades at ~29x core forward earnings after doubling in a year.**

My base case is roughly **9% annually** — respectable, not exciting — with a bear case around **-11%** that runs through an antitrust ruling that is literally overdue as I write this. Compare that to Microsoft: base case ~13%, bear case roughly flat. **Alphabet is the better company. Microsoft is, at these two prices, the better risk-adjusted proposition.** If you want Alphabet exposure — and there is a serious case for it — I would rather you build it deliberately over several quarters, ideally with some of it after the Brinkema ruling lands, than establish a full position at a 13%-off-the-high price into a known binary event.

Sources & disclosures. Primary: Alphabet 10-K filings 2021–2025; Q1 2026 Form 8-K and earnings release; Alphabet Forms 8-K, FWP and 424B5 dated June 1–2, 2026 (the equity raise); Q1 2026 earnings call. Secondary: Synergy Research Group Q1 2026 cloud share; SemiAnalysis (TPU TCO); CNBC, Reuters, Forbes, Digiday, AdExchanger, Norton Rose Fulbright (antitrust); Robinhood market data (July 10, 2026 close).

Known uncertainties, stated plainly: (1) **I could not confirm whether Judge Brinkema has issued the ad-tech remedies ruling** — her self-imposed March 31, 2026 deadline passed without one, and I found no reporting of a decision through my search date. Verify the E.D. Va. docket before acting. (2) 2026E revenue, operating income and core EPS are *my estimates*; Alphabet does not guide full-year revenue. (3) The segment lines for "subscriptions/platforms/devices" and "Network" are reconstructed from quarterly disclosures, ±\$1–2B. (4) Core EPS figures strip equity-security gains using the company's own disclosed EPS impact for Q1 2026 (\$2.35) and my estimate for the Q1 2025 comparable (~\$0.49). (5) The depreciation sensitivity is a model built on an estimated D&A split Alphabet does not disclose. (6) Alphabet reports Q2 2026 in late July; several figures here will be stale within three weeks.

This is educational research and analysis, not investment advice. I am not a licensed financial advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this interacts with your existing concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.